

Cooperative Bank 9M20 Earnings Note

Cooperative Bank's 9M20 PAT dropped 10.2% y/y to KES 9.8B below our expectation of a marginal growth in net earnings. The drop was driven by a 89.4% y/y rise in loan loss provisions to KES 4.0B, a 9.8% y/y uptick in operating expenses and a 3.5% y/y decline in non-funded income. We maintain our BUY recommendation on COOP with a target price of KES 16.82 offering a potential upside of 46.9% on the current price of KES 11.45.

DATE:	**19th November 2020**
Target Price:	**KES 16.82**
Current Price:	**KES 11.45**
Upside:	**46.9%**
52 Week Low:	**KES 10.05**
52 Week High:	**KES 17.00**

Single digit growth in loans and advances

In line with our expectations of a single digit growth, the loan book grew 5.7% y/y to KES 284.2B premised on slow economic activity due to the prevailing pandemic. Increased liquidity saw banks curl towards government paper; this saw the Group's investment in government securities rise 47.3% y/y to KES 142.3B. In effect interest income rose 5.6% y/y to KES 37.2B.

Declining cost of funds

Interest expenses dropped 3.5% y/y to KES 8.9B behind a 16.4% y/y incline in customer deposits to KES 375.5B. Thin saw cost of funds decline 100bps to 4.7%.

Loan loss provisions dent bottom line

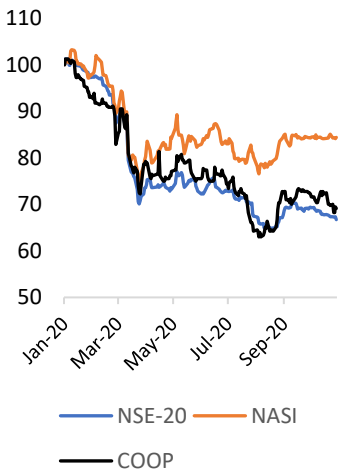
In line with our expectations, NPLs grew 33.6% y/y to KES 40.2B leading to a gross NPL ratio of 14.1%. Loan loss provisions soared 89.4% y/y to KES 4.0B with a cost of risk of 2.8%. We anticipate the continued worsening of the asset book due to a general slowdown in business activity with slow economic recovery. However, the bank's diverse loan book is expected to assist weather the tough business environment.

Outlook

The Group's 9M20 performance was largely in line with our expectations. We remain concerned over the growth in operating expenses given the current business environment,, we expect the bank to implement efficiency measures to keep costs minimized. We are also concerned over the continued decline in non-funded income that has seen a slow down in top line growth.

The counter is trading at p/e and p/b multiples of 6.9x and 0.8x respectively.

COOP vs Indices



Source: AIB-AXYS Research

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Financial Statements

Income Statement	9M19 KES M	2Q20 KES M	3Q20 KES M	9M20 KES M	chg y/y	% chg q/q
Interest Income	30,384	11,272	10,737	32,548	7.1%	-4.7%
Interest Expense	9,231	2,876	3,014	8,912	-3.5%	4.8%
Net Interest Income	21,152	8,395	7,722	23,636	11.7%	-8.0%
Non Interest Income	14,097	3,324	5,296	13,603	-3.5%	59.3%
Total Operating Income	35,249	11,719	13,018	37,239	5.6%	11.1%
Total Operating Expenses	17,695	6,340	6,726	19,429	9.8%	6.1%
Loan Loss Provision Expense	2,122	965	2,156	4,021	89.4%	123.4%
Operating Profit	17,555	5,379	6,292	17,810	1.5%	17.0%
Profit Before Tax	15,455	4,482	4,152	13,751	-11.0%	-7.4%
Current Tax	4,571	872	1,575	3,976	-13.0%	80.5%
Profit After Tax	10,884	3,609	2,577	9,775	-10.2%	-28.6%
EPS (KES)	1.86	0.62	0.44	1.67	-10.2%	-29.2%
Balance Sheet						
Total Shareholders' Equity	73,946	80,116	82,029	82,029	10.9%	2.4%
Customer Deposits	322,549	384,637	375,457	375,457	16.4%	-2.4%
Total Liabilities	365,403	432,245	427,257	427,257	16.9%	-1.2%
Total Equity and Liabilities	440,765	513,924	510,900	510,900	15.9%	-0.6%
Government and Other Securities	96,590	122,368	142,284	142,284	47.3%	16.3%
Net Loans and Advances	268,871	272,157	284,226	284,226	5.7%	4.4%
Total Assets	440,765	513,924	510,900	510,900	15.9%	-0.6%
Key Ratios						
Gross NPL (KES M)	30,066	34,301	40,177	40,177	33.6%	17.1%
NPL Ratio	10.7%	12.0%	14.1%	14.1%		
Cost of Risk	1.6%	1.4%	2.8%	2.8%		
Loan to Deposits	83.4%	70.8%	75.7%	75.7%		
Yield on Interest Earning Assets	15.6%	11.4%	15.3%	15.3%		
Cost of Funds	5.7%	3.0%	4.7%	4.7%		
NIM	9.9%	8.4%	10.5%	10.5%		
Non Funded/Total Income	40.0%	28.4%	36.5%	36.5%		
Cost to Income Ratio	50.2%	54.1%	52.2%	52.2%		
ROE	29.4%	18.0%	23.8%	23.8%		
ROA	4.9%	2.8%	3.8%	3.8%		
Core Capital/TRWA	15.6%	16.3%	15.5%	15.5%		
Total Capital/TRWA	15.8%	16.8%	15.9%	15.9%		
Liquidity Ratio	45.0%	54.1%	50.2%	50.2%		
P/B (x)				0.8		
P/E (x)				6.9		

Source: AIB-AXYS Research, company fillings



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